

- RAG Learning

3B.5 Regionalism and the EU

Politics — Edexcel (9PL0) — Component 3B: Global Politics

Exam Tip: Component 3 has two routes. This is **3B (Global Politics)**; the alternative is **3A (Comparative Politics: USA)**. You sit one, never both.

Exam Tip: The 2017 spec predates withdrawal. The UK left the EU on **31 January 2020** and the transition ended on **31 December 2020**. The EU remains fully examinable as the most developed case of regionalism — write UK membership in the past tense.

Regionalism is co-operation between states within a geographical area through shared institutions. The EU is the case study because it has gone furthest, and because it is the only body where states have accepted genuinely supranational authority.

Regionalism — co-operation between states within a geographical area through shared institutions.

Supranationalism — institutions can take decisions binding on members, including against an individual member's wishes.

Intergovernmentalism — states co-operate while retaining ultimate control, typically through unanimity.

Free trade area — tariffs removed between members; each sets its own external tariff.

Customs union — adds a common external tariff.

Single market — free movement of goods, services, capital and people, with harmonised regulation.

Monetary union — a shared currency and central bank.

Neofunctionalism — integration advances by spillover from one sector to adjacent ones.

Democratic deficit — decisions taken by bodies insufficiently accountable to citizens.

Subsidiarity — decisions should be taken at the lowest effective level.

1. Forms of regionalism

Type	Purpose	Examples
Economic	Trade liberalisation and market integration	EU single market, USMCA, Mercosur, ASEAN Free Trade Area
Security	Collective defence or regional peace and security	NATO, the African Union's peace and security architecture
Political	Shared institutions and, at the furthest extent, supranational law	The EU; to a far lesser degree the AU and ASEAN

Economic regionalism has spread most widely because trade liberalisation offers measurable mutual gains without requiring states to surrender authority over identity, security or law. That single sentence explains the pattern across every region.

Stages of economic integration

Stage	Adds
Free trade area	No internal tariffs; independent external tariffs
Customs union	A common external tariff — members can no longer negotiate independent trade deals
Single market	Free movement of goods, services, capital and people; harmonised regulation
Monetary union	A shared currency and central bank
Political union	Shared government — not reached by any regional body

2. The European Union

Development

Treaty / event	Significance
ECSC 1951 / Treaty of Rome 1957	Founded on the aim of making war between France and Germany impossible; six members
Single European Act 1986	Created the single market programme; extended qualified majority voting
Maastricht 1992	Established the European Union; set the path to monetary union; created EU citizenship
Enlargement 2004–07	Central and eastern Europe; extended reach and stabilised transitions, while widening disparities
Lisbon 2009	Strengthened the Parliament; created the European Council presidency and the High Representative
Brexit 2016–2020	The first withdrawal; demonstrated integration is reversible

Institutions

Institution	Represents	Role
Commission	The Union interest	Sole right of legislative initiative; implements; guardian of the treaties
Council of the EU	Member state governments	Co-legislates with the Parliament; qualified majority voting in most areas
European Council	Heads of state and government	Sets overall political direction; operates by consensus
European Parliament	Citizens, directly elected	Co-legislates; budgetary powers; approves the Commission

Court of Justice	EU law	Interprets and ensures uniform application; established direct effect and supremacy
European Central Bank	The eurozone	Monetary policy for the single currency

The Court's doctrines of **direct effect** and **supremacy** are what made the EU legal order genuinely supranational: EU law became enforceable in national courts at the suit of individuals, converting treaty obligations into rights citizens could claim. No other regional body has this.

3. The democratic deficit

The charge	The reply
The Commission is appointed yet holds the sole right of initiative	The Commission is approved by the elected Parliament and appointed by elected governments
The Council meets with limited transparency	Ministers in the Council are accountable to national parliaments and electorates
The Parliament was historically the weakest institution	Its powers have grown substantially through successive treaties; it now co-legislates in most areas
Low turnout; elections fought on domestic issues	National parliaments gained a subsidiarity scrutiny role under Lisbon
No European demos with shared media and parties competing for office	This is a criticism of European society, not of the institutions

The disagreement underneath: whether accountability through twenty-seven national democracies is sufficient for decisions taken collectively, or whether supranational decisions require supranational democracy.

4. The eurozone crisis

The structural flaw was **monetary union without fiscal union**. Members shared a currency and a central bank but retained separate national budgets, so there was no mechanism for fiscal transfers of the kind that operates within a single state. Indebted members could not devalue, so adjustment had to occur through internal devaluation — austerity — which is slow and socially costly.

Resolution was difficult because both sides had democratic mandates: creditor electorates were unwilling to underwrite what they saw as others' irresponsibility; debtor electorates were unwilling to accept prolonged austerity. The no-bailout clause made the legal basis contested until the ECB's 2012 commitment to do "whatever it takes". Banking supervision has since been integrated; the fiscal question has not been resolved.

5. Evaluation

Does regionalism threaten sovereignty?

Members accepted binding law and majority voting in defined areas — a genuine constraint. But they chose it by treaty, and one has since left, which supports the description of **pooled** rather than surrendered sovereignty. The honest qualification: the distinction is clear in principle and harder to sustain the deeper integration goes, because the cost of exit rises until the option becomes theoretical.

The counter-intuitive point worth making: regionalism *increases* the effective sovereignty of smaller states. A medium-sized European state negotiating with the US or China alone has little leverage; acting through a bloc of 450 million consumers it shapes global regulatory standards. If sovereignty means the capacity to shape outcomes rather than formal freedom from constraint, the sovereignty objection is strongest for powerful states and weakest for small ones.

What Brexit shows about regionalism

- **Integration is reversible** — a correction to neofunctionalist accounts implying a ratchet.
- **National politics constrains integration** — a domestic coalition can override the economic logic of membership, supporting intergovernmentalist accounts.

- **But exit is costly** — the complexity of withdrawal and the Northern Ireland border problem demonstrated how deep integration had become.
- **The Brussels effect persists** — non-members align with a large bloc's standards to trade with it, so leaving recovers formal sovereignty while leaving much practical constraint in place.
- **No imitation followed** — support for membership rose in remaining states, suggesting exit may strengthen rather than weaken a bloc.

Does regionalism strengthen global governance?

Yes: regional bodies solve collective action problems at a scale where agreement is achievable, and aggregate smaller states into blocs that can negotiate globally. Given the paralysis of the WTO and the Security Council, they now do much of the work global institutions were designed for.

No: overlapping and inconsistent agreements fragment the global trading system; blocs may become competing power centres; and the strongest regional bodies are those of already-wealthy regions.

Judgement: regionalism succeeds at what global governance finds easy and cannot substitute for it where global governance is genuinely necessary — a bloc that decarbonises alone bears the cost and shares the benefit. Its growth is therefore evidence of the problem rather than a solution to it.

Quick recall

- Economic / security / political regionalism; economic spreads most easily
- FTA → customs union → single market → monetary union → political union
- ECSC 1951, Rome 1957, SEA 1986, Maastricht 1992, enlargement 2004–07, Lisbon 2009, Brexit 2020
- Commission (initiative) / Council (states) / European Council (direction) / Parliament (citizens) / CJEU / ECB
- Direct effect and supremacy made the EU genuinely supranational
- Eurozone flaw: monetary union without fiscal union; "whatever it takes" 2012
- Pooled sovereignty; and regionalism increases small states' effective leverage

- Brussels effect: leaving recovers formal sovereignty, not practical constraint